



BUSINESS 2 (BUSINESS FINANCE AND INCOME TAXATION)

ACADEMIC

Grade 11/12

Curriculum Guide

BUSINESS FINANCE AND INCOME TAXATION

Prerequisites: Business 1 (Basic Accounting) and Introduction to Organization and Management

Course Description:

This course covers the key concepts, underlying principles, processes, and challenges in business and finance, focusing on the application of decision-making, analysis, interpretation, and strategy formulation derived from various business environment and financial reports, considering the impact of income taxation with application of ethical standards and one's personal financial experiences and practices.

Elective: Academic

Time Allotment: 80 hours for one term

Content Standards

- Learners demonstrate an understanding of the foundational concepts of finance, including financial management principles, financial system structures, and the roles of financial managers in managing both short-term and long-term funds. They also develop competencies in personal financial management, investment analysis, risk assessment, and the application of sound taxation principles.
- The learners demonstrate an understanding of sound principles of taxation and its purpose.

Performance Standards

- Learners prepare a personal financial plan based on one's financial capacity, including a contingency plan to address identified investment risks.
- Learners analyze an accomplished BIR form 2316.

Learning Competencies	Content
Financial Management, Investment, and Money in the Business Environment	
1. Discuss the functions of finance and financial management	Introduction to Financial Management • Financial Forecasting • Budgeting • Risk Management

Learning Competencies	Content
	• Resource Acquisition
2. Discuss the components of the financial system including the financial markets, institutions, instruments, and regulating bodies	Financial System • Financial Instruments • Financial Market • Financial Institution • Regulating Bodies
3. Evaluate the different tools for managing cash in both the traditional and cashless economy, receivables, and inventory	Financial Planning Tools and Concepts • Statement of Financial Position (SFP) Projection • Statement of Comprehensive Income Projection (SCI) • Statement of Owner's Equity (SOE) • Statement of Cash Flow (SCF) • Financial Analysis (Financial Ratios)
4. Evaluate short-term and long-term acquisitions 5. Examine ethical issues in the financial management process 6. Evaluate the key factors influencing the potential returns, profitability, and risk associated with various investments 7. Calculate the internal rate of return, future value, net present value of money, and payback period of a given investment	Sources and Uses of Short-Term and Long-Term Funds Types of Investments 1. Financial Instruments • Government securities • Pooled Funds (Mutual Funds, Unit Investment Trust Fund) • Equity and Debt Securities (Stocks and Corporate Bonds) 2. Non-Financial Assets • Real Estate • Precious Metals and Collectibles 3. Insurance with Investment Investment Appraisal and its Method • Internal Rate of Return (IRR), • Net Present Value (NPV) • Future Value

Learning Competencies	Content
	Payback Period
8. Apply the tools and techniques used to reduce or minimize investment risks	Measuring and Managing Investment Risks • Categories • Types • Risk Appetite • Risk Tolerance Investment Horizon
9. Apply the financial management cycle to personal practices such as earning, budgeting, savings, spending, investing, or protecting money	Managing Personal Finance • Personal Financial Planning • Budgeting and Savings (include Savings in Formal Institutions) • Managing Debt Protecting Money (e.g. <i>personal</i> : digital financial literacy and <i>institutional</i> : financial consumer protection)
Principles and Purpose of Income Taxation	
10. Discuss the principles and purpose of taxation	Principles of Income and Business Taxation • Introduction to the National Internal Revenue Code (NIRC) • Principles of Taxation • Purpose of Taxation • Income and Business Taxation and its Processes • Sources of income
11. Differentiate the types of taxes	Types of Taxes in the Philippine Setting
12. Articulate the significance of 2316 BIR form	Certificate of Compensation Payment/Tax Withheld (2316 BIR Form) • Significance of 2316 BIR Form • Accomplish the 2316 BIR Form

Learning Competencies	Content
13. Discuss the applicable taxes for individual and business enterprises	Taxes • Taxable Income • Non-taxable Income • Deduction, Exemption, and Tax Credit
14. Discuss the ethical considerations in taxation for individual and business enterprises	Ethical Considerations in Taxation • Tax Compliance • Tax Avoidance • Tax Evasion
15. Compute tax for individual and business enterprises	Compute Tax Adherent to the Current National Internal Revenue Code (NIRC) Tax Code